Coca-Cola Co/The Earnings Call

View on the Bloomberg Terminal

07/22/25

Guidance

- The company updated its 2025 guidance, maintaining organic revenue growth expectations of 5-6% while revising comparable currency-neutral EPS growth to approximately 8%
- Currency headwinds are expected to impact 2025 results, with approximately 1-2 point headwind to comparable net revenues and 5 point headwind to comparable EPS
- The company expects 2025 comparable EPS growth of approximately 3% versus $2.88 in 2024
- Key considerations for remainder of 2025 include:
  - Dynamic external landscape
  - Concentrate sales running slightly behind unit cases in Q3
  - Margins no longer expected to be back-half weighted
  - One additional day in Q4 reporting calendar

Margin Story

- In Q2 2025, Coca-Cola achieved strong margin expansion with comparable gross margin increasing ~80 basis points and comparable operating margin increasing ~190 basis points
- The margin expansion was driven by:
  - Underlying expansion
  - Faster realization of productivity initiatives (about one-third)
  - Timing of investments
  - Favorable cycling versus prior year
- Due to strong margin expansion earlier in the year, margins are no longer expected to be back-half weighted in 2025
- North America margins were particularly strong in Q2, partly due to:
  - Productivity initiatives
  - Mix effects from vertically-integrated businesses
  - Continued brand investment

AI Strategy

- The only mention of AI in the document was regarding an AI-based pricing optimization tool that was piloted in Mexico and subsequently expanded to other markets

Material Costs

- The document contains very limited direct discussion of material costs. The only relevant mention is that the company believes the impact of global trade dynamics on their cost structure will be manageable

Inventory

- Coca-Cola gained share of visible inventory in North America, particularly with their Sprite + Tea innovation
- The company is working to win back consumers through partnerships and execution to increase share of visible inventory

Competition

- Coca-Cola gained value share in Q2 2025, marking their 17th consecutive quarter of value share gains
- In North America, the company won share through contextually relevant advertising, value initiatives and customer partnerships
- Management acknowledged that when competitors see the success of products like Fairlife, they naturally try to launch competing products, which "keeps us all on our toes"

Market Share

- Coca-Cola gained value share in Q2 2025, marking their 17th consecutive quarter of value share gains
- In North America, they won value share while seeing revenue and profit growth despite volume declines
- In ASEAN and South Pacific, they won value share despite volume declines in several markets
- In Mexico, their value share trends improved significantly during Q2 2025

ESG Strategy

- Based on my review of the earnings call transcript, there were no substantive discussions of environmental (ESG) issues, policies, or initiatives. The conversation focused primarily on business performance, market conditions, consumer trends, and financial results. Any mentions of "environment" in the transcript were in reference to the business/operating environment rather than environmental sustainability or ESG matters

Capital Allocation

- The document contains very limited direct discussion of buybacks, dividends, or capex. The only relevant mention is a brief reference to capital allocation priorities, which include investing in the business and returning capital to shareholders

M&A

- The company maintains a balanced capital allocation approach that prioritizes investing in the business and returning capital to shareholders
- When discussing brand growth, it was noted that half of their $30 billion brands came from organic growth and half from inorganic (acquired) growth, with the company remaining opportunistic about future inorganic opportunities

Labor

- The company emphasized its local employment in the US when addressing Hispanic consumer concerns, noting that Coca-Cola is "made by US employees" and "distributed by US employees"

- The company highlighted local employment as part of its strategy in the Eurasia and Middle East region

Macro Environment

- The external environment remained dynamic and uncertain throughout 2025, requiring agile responses from the company
- Consumer spending overall remained resilient, though there was pressure on lower-income segments
- There were pockets of consumer pressure in various markets, with particular weakness noted in ASEAN markets (Thailand, Indonesia, Vietnam)
- Europe and US markets showed similar consumer patterns, with overall resilience but value-seeking behavior among lower-income consumers
- The company faced currency headwinds, with an expected 1-2 point currency headwind to revenues and 5-point headwind to earnings per share for full-year 2025

Supply Chain

- Fairlife is experiencing capacity constraints that are limiting growth, with new capacity coming online in early 2026 via a New York facility
- Management indicated that impacts from global trade dynamics on their cost structure appear manageable

Pricing

- The company achieved 6% price-mix growth in Q2, driven by approximately 5 points from pricing actions and 1 point from favorable mix. Pricing from high inflation markets contributed about 1 point, down significantly from 5 points in 2024.
- In North America, price mix decelerated as premium still brands showed moderated growth
- The company is using revenue growth management strategies including:
  - Refillables for affordability in Latin America, Africa, Philippines, Thailand and parts of Eurasia/Middle East
  - Premium offerings like mini cans in Europe
  - AI-based pack price optimization tools (piloted in Mexico, now in 8 markets)

Product Development

- Coca-Cola plans to launch Coca-Cola with US cane sugar in fall 2025 in the United States
- The company launched Sprite + Tea in North America, which started as an experimental project and was scaled up after strong consumer demand. This contributed to Sprite becoming the #3 sparkling soft drink brand in the US
- The company launched "Share a Coke" campaign globally with personalized packaging
- Fairlife brand growth is being constrained by capacity limitations until new capacity comes online in early 2026 in New York

Bloomberg Automated Summary